

EXAM 7 – SPRING 2015

29. (2.5 points)

Given the following characteristics of two insurance companies writing business exclusively in the U.S.:

	<u>Insurance Company A</u>	<u>Insurance Company B</u>
Lines Written	Homeowners	Auto Liability, General Liability
States Operating	Florida	All 50 states
Invested Assets	U.S. equities only	Foreign equities and foreign bonds only
Credit Rating	Strong with negative outlook	Strong with stable outlook
Reinsurance Used	Quota Share	Excess of Loss
Employee Count	50	300

a. (2 points)

Identify four sources of risk that the two insurers face to different degrees and for each source identified, briefly contrast the two insurers' risk.

b. (0.5 point)

Propose two changes that Insurance Company A can make to reduce its risk profile

END OF EXAMINATION

EXAM 7 SPRING 2015 SAMPLE ANSWERS AND EXAMINERS' REPORT

QUESTION 29	
TOTAL POINT VALUE: 2.5	LEARNING OBJECTIVE: C7: Describe operational risk and demonstrate possible mitigation and quantification methodology. C8: Evaluate best practices in risk measurement, modeling, and management of various financial and non-financial risks faced by an entity.
SAMPLE ANSWERS	
Part a: 2 points	
<i>Sample Answer 1</i> Currency risk: Company B is exposed to currency risk because all invested assets are in foreign currency. Company A does not have this risk. Concentration risk: Company A has greater concentration risk than Company B because Company A only writes one line of business in one state, while Company B writes multiple lines in all states. Catastrophe/Event risk: Company A has significant catastrophe risk because it writes a catastrophe prone coverage (homeowners) in a catastrophe prone state (Florida, hurricanes) and only has quota share reinsurance which does not significantly reduce extreme event losses relative to premium. Company B has less catastrophe risk because it has excess of loss reinsurance, which reduces extreme losses significantly relative to premium, and writes lines that are less prone to catastrophes (auto liability, general liability) and in all 50 states. Liquidity risk: Company A has greater risk. It's negative outlook credit rating could lead to a downgrade causing cash calls and significant liquidity problems. Its exposure to catastrophe losses also poses liquidity risk from large cash calls following an event. Company B has less liquidity risk, does not have these potential threats than company A has. <i>Sample Answer 2</i> Concentration by industry: A only writes Homeowners but B writes auto liability and general liability. A may face more risk due to only writing one line of business. Concentration by geography: A has more risk since they only write in Florida and are exposed to catastrophe losses from hurricanes. B is more diversified since they write in all 50 states. Currency Risk: B has more risk for foreign currency since they only invest in foreign equities and bonds. A only has US equities so does not face as much currency risk. Net Risk Retention: A uses quota share but since they only write in Florida, where hurricanes are common, they could face potentially high losses for many policies at once. Company B uses excess of loss, which reduces this tail type risk.	

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Part b: 0.5 point

Sample Answer 1:

1. A can reduce its underwriting risk by purchasing excess of loss insurance to protect it from catastrophes (hurricanes).
2. A can diversify its asset portfolio to invest in bonds (preferably highly rated ones) to reduce its market risk profile.

Sample Answer 2:

1. Can expand to states other than Florida
2. Purchase catastrophe reinsurance.

EXAMINERS' REPORT

Candidates generally scored very well, though responses to part b were stronger than to part a. Almost all candidates responded to this question, despite it being the last question of the exam.

Part a

Candidates were expected to be able to identify at least four types of risks that insurance companies are exposed to and then contrast the two given companies' risk profiles in the four mentioned risk areas.

The following were the most common ways in which candidates lost credit:

1. Not describing both companies' risk profile for the risks named (often just describing one company and not mentioning the other company at all)
2. Naming a risk but describing a different risk (for example, stating market risk and then stating that Company A's market risk was high because they only wrote in one state, which is underwriting risk, not market risk)
3. Naming downgrade risk as a risk and then stating that Company A had downgrade risk because they had a negative credit outlook without explaining exactly what a downgrade would do (lower company bond value or share value, cause policyholders to leave, etc.).
4. Only listing three risks instead of four.

Part b

Most candidates received full credit for part b, suggesting two ways for Company A to reduce its risk profile, though quite a few candidates did not provide a response to part b.

The most common error was to state that Company A should improve its credit rating outlook, without suggesting specific ways to do so, which was not a full enough response to earn full credit.